

turn up for a meeting when called to clarify on some of the chats and communications that looked suspicious,” he added, wishing not to be named as the probe is still on.

While Joshi was the fund manager of five schemes—Axis Arbitrage Fund, Axis Banking ETF, Axis Consumption ETF, Axis Nifty ETF and Axis Technology ETF—Agrawal managed Axis Consumption ETF, Axis Quant Fund and Axis Value Fund. The funds have since been allocated to other fund managers, including Jinesh Gopani, Head of Equity and Ashish Naik, Fund Manager for Equity.

“In any financial market, there will always be some rogue elements that would try to benefit if there is an opportunity. It is the nature of response to such rogue elements that determines the character of the financial institution,” says Shriram Subramanian, Founder & MD of InGovern Research Services, a proxy advisory firm.

DHIRENDRA KUMAR, Founder and Chief Executive of Value Research, believes that credit worthiness is a fundamental tenet for mutual funds, and Axis AMC should accelerate things in terms of coming out with the findings. “They need to show that they had enough checks and balances in place and were quite proactive in initiating the probe. They have a fiduciary responsibility,” says Kumar, adding that investors who have put money in Axis AMC schemes should not panic as yet. But if there are any adverse findings that come out later, then it would be tough for investors to put money in the fund house, he says.

In a similar context, InGovern’s Subramanian believes that the development is a setback for Axis AMC and it should complete the investigation as soon as possible to retain the trust of its unit holders. “It is not clear as to what triggered the investigation, what is the nature of the violation, why it has taken two months to investigate, and what is the loss to unit holders,” he says.

To be fair to the fund house, its portfolio of stocks across schemes is believed to be largely good-quality large caps. Industry players say that given the backing of the third-largest private sector bank and a global investment manager—Axis Bank and the UK’s Schroder’s own 74.99 per cent and 25 per cent, respectively—the compliance protocols and processes would be in place. They, however, add that an occasional slip is possible, especially during times when some may be working from home and could have become a bit callous.

Incidentally, none of the schemes that were managed by the sacked fund managers has taken a hit by way of an abrupt and huge fall in their respective net asset value. “Since inception, we have followed a highly disciplined strategy focussed on investing in high-quality



THERE ARE NO RESTRICTIONS ON REDEMPTIONS. RECENT DEVELOPMENTS DO NOT IMPACT THE PORTFOLIOS HELD BY ANY OF THE SCHEMES OF AXIS AMC. ANY SUGGESTION TO THE CONTRARY IS BASELESS

CHANDRESH NIGAM

MD & CEO, AXIS ASSET MANAGEMENT COMPANY (IN A STATEMENT)



AXIS AMC SHOULD ACCELERATE THINGS IN TERMS OF COMING OUT WITH THE FINDINGS. THEY NEED TO SHOW THAT THEY HAD ENOUGH CHECKS AND BALANCES IN PLACE. THEY HAVE A FIDUCIARY RESPONSIBILITY

DHIRENDRA KUMAR

FOUNDER & CHIEF EXECUTIVE, VALUE RESEARCH

businesses with strong emphasis on risk management. Our performance over the years is proof of success of this strategy. All our portfolios have high-quality holdings and have adequate liquidity,” stated Axis AMC in its emailed responses. “There are no restrictions on redemptions. In any event, we believe that the available liquidity with our funds and the quality of our portfolio will enable us to meet redemption requests from investors, if any,” it added.

Meanwhile, the statement issued by Nigam on May 8 mentioned that the “recent developments do not impact the portfolios held by any of the schemes of Axis AMC. Any suggestion to the contrary is baseless and should be ignored”.

The probe may well be on and might be nearing its end as well, but whatever the outcome, Axis AMC will have to ensure that violations—minor or otherwise—are properly identified and the loose ends are tied up to avoid future such occurrences.

The regulator is watching and is not going to take this lightly in any manner whatsoever, especially when it has expanded the scope of the law to include intermediaries along with non-intermediaries as well, including family members and friends. **BT**

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